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HK Exchanges & Clearing | Asia Pacific

Solid core revenue growth in 2Q26; investment income also beating expectations

AlphaSignals Earnings Reaction

Unchanged

Impact to our thesis



Modest upside

Financial results versus consensus



Modest revision higher

Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Key Takeaways

- 2Q26 revenue increased 18% yoy, beating MSe by 5% and consensus by 9%, mainly due to stronger-than-expected listing fees and net investment income.
- Net investment income was flat qoq at HK\$1,279mn, beating MSe by ~30%, due to non-recurring gains on valuation of the unlisted equity investments.
- Core revenue remained strong, as expected, with trading fees and clearing fees up 26% and 43% yoy, respectively.
- 2Q26 ADV was 22% higher yoy at HK\$290bn and Northbound ADV was up 141% yoy.
- Net profit rose 21% yoy to HK\$5.38bn in 2Q26, with 1ppt yoy higher EBITDA margin at 80%.

Solid core business growth in 2Q26 amid strong ADV and northbound trading:

Headline ADV was HK\$290bn in 2Q26, up 22% YoY and 5% qoq. Notably, Northbound ADV recorded a solid 141% YoY growth, supporting both trading and clearing fees. Derivatives ADV increased 16% yoy in 2Q, driven mainly by options; commodities ADV also rose 11% yoy.

Listing fees grew 24% yoy, beating MSe and consensus, due to an increase in number of forfeitures.

Net investment income was higher than expected at HK\$1.28bn in 2Q26, mainly due to non-recurring gains on the valuation of unlisted equity investments at HK\$298mn in 1H26 (or HK\$290mn in 2Q26). Nevertheless, it dropped 17% yoy from a high base. Net investment income accounted for 15% of total revenue in 2Q26, down from 21% in 2Q25, due to strong core revenue growth.

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Hong Kong Financials | Hong Kong

Stock Rating	Overweight			
Industry View	In-Line			
Price target	HK\$515.00			
Up/downside to price target (%)	27			
Shr price, close (Aug 18, 2026)	HK\$405.00			
52-Week Range	HK\$466.00-360.00			
Sh out, dil, curr (mn)	1,271			
Mkt cap, curr (mn)	HK\$514,744			
EV, curr (mn)	HK\$515,142			
Avg daily trading value (mn)	HK\$1,947			
Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (HK\$)**	14.01	14.40	15.38	16.44
Prior EPS (HK\$)**	-	-	-	-
EPS (HK\$)§	13.76	15.39	15.73	16.89
EBITDA (HK\$ mn)	22,822	23,517	25,191	26,958
ModelWare net inc (HK\$ mn)	17,754	18,253	19,485	20,832
P/E	29.1	28.1	26.3	24.6
P/BV	8.8	8.4	8.2	7.9
RNOA (%)	32.7	31.2	32.2	33.2
ROE (%)	32.6	31.1	32.1	33.2
EV/EBITDA	22.7	21.9	20.4	19.1
Div yld (%)	3.1	3.2	3.4	3.6
Leverage (EOP) (%)	0.7	0.7	0.6	0.6

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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HKEx 2Q26 Earnings

Exhibit 1: HKEx: 2Q26 Earnings vs MS 2Q26 Preview

HKD mn	2Q25	3Q25	4Q25	1Q26	2Q26	YoY	QoQ	2Q26E	A/E
Revenues:									
Trading fees & tariff	2,375	2,925	2,502	2,995	2,996	26%	0%	2,978	1%
Listing fees	408	452	521	547	504	24%	-8%	450	12%
Clearing & settlement fees	1,559	2,118	1,769	2,115	2,234	43%	6%	2,226	0%
Depository fees	437	441	394	339	572	31%	69%	568	1%
Information fees	290	306	300	316	318	10%	1%	313	2%
Net Investment income	1,542	1,018	1,218	1,281	1,279	-17%	0%	971	32%
Others	608	515	606	610	596	-2%	-2%	612	-3%
Total revenues	7,219	7,775	7,310	8,203	8,499	18%	4%	8,118	5%
Expenses:									
Staff costs	988	1,009	1,039	1,052	1,096	11%	4%	1,071	2%
IT	234	234	261	242	255	9%	5%	253	1%
Depreciation	385	382	443	381	396	3%	4%	412	-4%
Others	312	307	378	317	329	5%	4%	319	3%
Total expenses	1,919	1,932	2,121	1,992	2,076	8%	4%	2,054	1%
Operating profits	5,276	5,820	5,165	6,189	6,403	21%	3%	6,039	6%
Profit before tax	5,285	5,825	5,169	6,198	6,408	21%	3%	6,048	6%
Tax	821	911	808	990	1,018	24%	3%	966	5%
Profit for the period	4,464	4,914	4,361	5,208	5,390	21%	3%	5,082	6%
Profits attributable to HKEx shareholders	4,442	4,900	4,335	5,188	5,380	21%	4%	5,060	6%
EPS (HK\$)	3.51	3.88	3.43	4.10	4.26	21%	4%	3.99	7%
DPS (HK\$)	6.00	n.a.	6.52	n.a.	7.43	22%	5%	290	0%
ADT on Stock Exchange (HK\$bn)	238	286	230	277	290	-1%	0%	20%	0%
Cost Income Ratio	21%	20%	23%	20%	20%				

Source: Company data, Morgan Stanley Research (E) estimates

Valuation Methodology and Risks

HK Exchanges & Clearing (0388.HK)

HK\$515: Probability-weighted 25% bull, 65% base, 10% bear. Skew reflects our view of higher ADV and more funds flow after financial risks bottom.

Base: 34x 2026e P/E - a level in 2021 when market sentiment remained high

Bull: 40x 2026e P/E - a level achieved in 2020 when IPO momentum was quite strong

Bear: 32x 2026e P/E - a level higher than 2022-2024 when lingering uncertainties persisted

Risks to Upside

- Sharp pickup in market fundraising activity
- Accelerated IPO pipeline conversion
- Liquidity improvement in China and globally
- Policies to boost the capital market

Risks to Downside

- Regulations affecting ADV and velocity
- IPOs not proceeding as expected for various reasons
- Stronger-than-expected policy tightening
- Lower revenue contribution from MSCI index future and option products
- Geopolitical uncertainties

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

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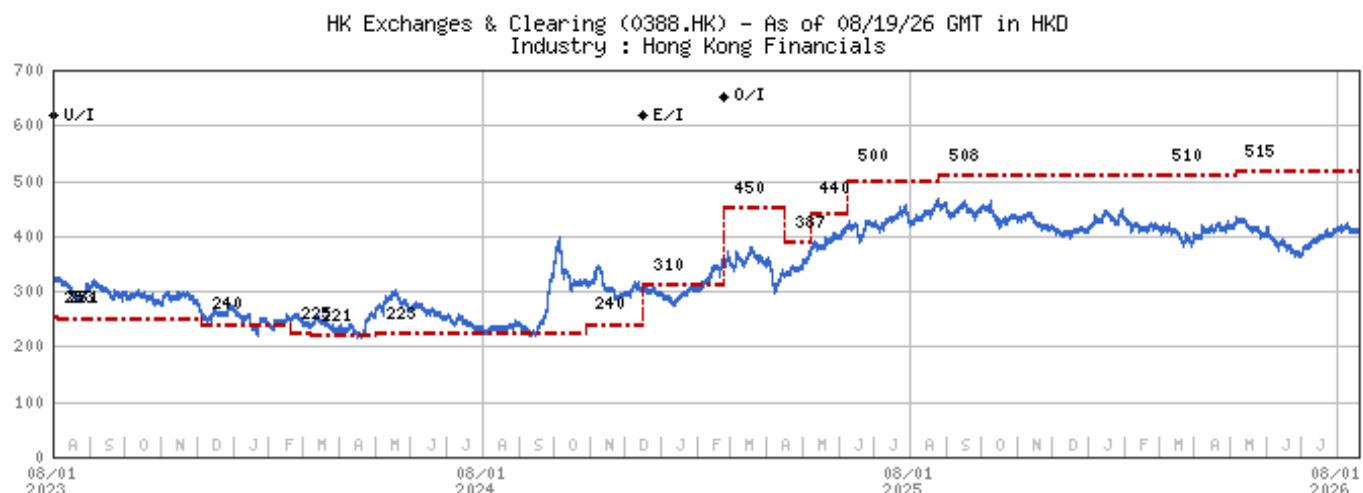
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INDUSTRY COVERAGE: Hong Kong Financials

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/18/2026)
Nick Lord		
BOC Hong Kong (2388.HK)	U (01/04/2025)	HK\$50.00
HSBC Holdings (0005.HK)	O (01/13/2026)	HK\$162.10
Standard Chartered (2888.HK)	O (10/17/2022)	HK\$235.80
Richard Xu, CFA		
HK Exchanges & Clearing (0388.HK)	O (02/24/2025)	HK\$405.00

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* Historical prices are not split adjusted.